

Controller Charter v1

Twin Home Buyer · Controller Foundations · Prepared by Kristine · Status: draft v1 for Juan's review

Purpose. I review, verify, and explain THB's numbers so Juan sees where the company stands early enough to act. The bookkeeper records. The CPA files and signs the tax returns. I own whether the numbers can be trusted and what they mean. THB has no CFO, so my job is to give Juan CFO-grade visibility without CFO-grade cost.

What I own

Area	My responsibility
Accuracy of the books	Final review that the books are complete, reasonable, and coded to the right entity (Equity Track Inc, Matrix Group One, Peninsula Plumbing), account , and property class .
Month-end close	Run the 12-step close. Bookkeeper work done by Day 2, my review by Day 4, and Juan's snapshot plus my sign-off by Day 5.
Property budgets & profit	Budget vs. actual vs. % complete for every active property. Projected gross profit after rehab, interest, closing costs, and commissions.
Cash & obligations	Available cash, AP, payroll, mortgages, and loan maturities. Can we cover what is coming due?
Juan's monthly snapshot	Cash, what we owe, what is coming in, AP, marketing spend, projected gross profit, health status, risks, and decisions needed.

What I verify before I report

Item	My check
Invoices & payments	Vendor is legitimate (W-9 when needed). Work was actually done. Invoice and agreement exist. Amount is reasonable. Cash is available.
Reconciliations	Bank and credit cards are reconciled. Uncategorized/suspense is zero or explained at close. Intercompany Due To / Due From balances can be traced.
Property coding	No guessed coding. Spending matches construction progress. A sold property's costs move out of inventory and into COGS.
Differences	Every difference is investigated and documented. \$5,000+ is material , so I do not rely on the report until I understand it. Below \$5,000 does not hold up the close. Anything suspicious is investigated at any amount.

What I escalate to Juan

Trigger	What I bring him
A property is over budget, or spend is running ahead of % complete	The variance, the cause, and the projected profit impact
A project is delayed or on standby	Monthly carrying cost of the delay
Cash may not cover upcoming obligations	The shortfall, its timing, and options
A loan or mortgage is approaching maturity	Balance, date, and payoff or refinance options
A material (\$5,000+) or suspicious item	What I found, what I verified, and what is still open
A payment is above my authority or lacks support	The request with my checklist results

My authority and limits

- I approve only within the limit Juan sets (currently **below \$2,000**). Anything above that, or anything that needs his approval, goes to Juan, even if he is unavailable and the vendor is pushing for payment.
- I never approve my own payment, bypass Juan's approval, approve unsupported expenses, or ignore a suspicious transaction.
- Tax positions and technical accounting go to the CPA. I do not decide them alone.
- **Human accountability stays with me** even when AI or automation prepares the work.

Verify before reporting · Investigate before accusing · Controls before convenience · Signal before noise

Apply: THB finance roles map

Who does, who reviews, who decides. D = does it · R = reviews · A = approves / decides · I = informed

Task	Bookkeeper	Controller (Kristine)	CPA	Juan (CEO)
Categorize transactions, match receipts, enter bills	D	R		
Bank & credit card reconciliations	D	R		
Iriga office and California payroll	D	R (allocation, liabilities)		A
Buyer/seller closing statements	D	R (inventory cleared to COGS)		I
Vendor payment below \$2,000	D (prepares)	A (within policy)		I
Vendor payment \$2,000 and above	D (prepares)	R (checklist)		A
Property budget vs. actual vs. % complete		D		I / A on overruns
Intercompany Due To / Due From	D (records)	R (traceable, settling)		A (settlements)
Cash, debt & maturity monitoring		D		A (funding decisions)
Month-end close sign-off	D (Days 1–2)	R + sign-off (Day 4)		I (snapshot Day 5)
Tax returns & tax strategy	D (provides records)	R (books are tax-ready)	D + signs	A

Apply: 52 Paramount Terrace traced through the statements

Statement	Today (under renovation, demo in progress)	On the day of sale
Balance Sheet	Property and qualifying rehab/holding costs sit in inventory (asset). The loan is a liability.	Inventory is cleared and the loan is paid off from the proceeds
P&L	No sale yet, so these costs are not COGS yet	Sale price becomes revenue and accumulated costs become COGS, which gives the property's gross profit
Cash Flow	About \$5,000/month of mortgage/carrying cost plus demo and rehab spend leave the bank	Net sale proceeds come in, which can be far less than the profit or far more

Full trace: *Three Financial Statements – How They Connect* (Kristine).

Overlaps to confirm with Juan before v2

- 1. Same person in two roles.** Where I both record and review an entry, a self-review is not independent. Which items should Juan spot-check each month?
- 2. Approval limits.** Confirm the under-\$2,000 limit, and whether vendor payments always need Juan regardless of amount.
- 3. Loan maturity warning window.** How far ahead does Juan want to hear about a maturity? (Proposed: 90 days.)
- 4. Who owns the snapshot format.** Confirm the eight snapshot items and that Day 5 works.
- 5. Materiality.** Approve the proposed \$5,000 management-reporting threshold.

Controller signature	Date	CEO acknowledgment (Juan)	Date